

LOGFRET, INC.,	:	
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Complainant,	:	
	:	
v.	:	Docket No. 18-10
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	:	
KIRSHA, B.V.,	:	
Leendert Johannes BERGWERFF a/k/a Hans BERGWERFF,	:	
LINDA SIEVAL,	:	
	:	
Respondents.	:	
	:	

Pursuant to Rules 69 and 71 of the Federal Maritime Commission’s Rules of Practice and Procedure, *see* 46 C.F.R. §§ 502.69, 502.71, and in furtherance of Your Honor’s Order on Complainant’s Motion to Strike Petition for Attorney Fees served November 19, 2019, Complainant Logfret, Inc. (“Complainant,” “Logfret” or “Logfret, Inc.”) respectfully submits this Response in Opposition to Respondents’ Petition for Attorney’s Fees (“Petition for Attorney’s Fees”) filed by Respondents Kirsha B.V., Hans Bergwerff, and Linda Sieval (collectively, “Respondents”).

Logfret filed its Verified Complaint against Respondents before the Federal Maritime Commission (“Commission” or “FMC”) on November 9, 2018. Well more than 25 days passed from the date of filing of the Complaint with no response from Respondents, in violation of Rule 62(b)(1) of the FMC Rules of Practice and Procedure. 46 C.F.R. § 502.62(b)(1). During this

time Respondents not only failed to file an answer or provide a response of any kind to the Commission, but also failed to make an appearance or serve any response on Complainant.¹

On December 19, 2018, the Commission issued an Order Requiring Answer, which *sua sponte* provided Respondents with additional time beyond the 25 days provided in Rule 62(b)(1) to file an answer or response to the Complaint. The December 19, 2018 Order stated, “Respondents’ answer must be filed by January 9, 2019, or they will be in default.” Further, on December 26, 2018, Your Honor issued a Notice Regarding Deadlines, which stated the Commission’s offices would be inaccessible temporarily as a result of the partial federal government shutdown. Accordingly, Respondents’ responsive pleading was required to be served on Logfret on or by January 9, 2019.

Counsel for Respondents reportedly mailed Respondents’ Motion to Dismiss to Complainant on January 9, 2019, according to a Memorandum dated a week after this deadline. See Ex. 2. However, Counsel for Respondents failed to notify counsel for Logfret of the Motion to Dismiss by electronic mail on January 9, 2019, as requested in the Notices of Appearance. This Motion to Dismiss was also never physically delivered to Logfret’s counsel, a failure that counsel for Respondents attributed as “both weather and federal government shutdown related.” As such, it was only on the following Wednesday, January 16, 2018, that counsel for Respondents made it known to Logfret that it intended to make a special appearance in this proceeding and to serve a Motion to Dismiss.

¹ On December 12, 2018, Ms. Sieval apparently emailed, with Mr. Bergwerff on copy, an FMC web address (judges@fmc.gov) stating, among other things, that the FMC had published home addresses and private email addresses of Ms. Sieval and Mr. Bergwerff, and urging the FMC to redact this information. On December 13, 2018, the Secretary of the FMC responded by removing the Complaint from the FMC website “as a courtesy for the time being” and advising Respondents to file a Motion to request confidentiality. The Secretary of the FMC also advised that all documents in the proceeding must be filed in accordance with Rule 2 of the FMC Rules of Practice and Procedure (46 C.F.R. 502.2).

On January 29, 2019, Logfret submitted a Motion to Request Extension of Time to File Complainant's Response to Motion to Dismiss, requesting an additional seven (7) days to submit a response. The following day, on January 30, 2019, Your Honor determined the requested brief extension was reasonable and granted the seven-day extension, until February 7, 2019. On February 7, 2019, Logfret submitted a Motion to Amend Complaint, as well as a Motion for Extension of Time to File Complainant's Response in Opposition to Motion to Dismiss. On February 12, 2019, Your Honor issued an Order requiring Logfret to supplement the Motion to Amend Complaint with a memorandum of law supporting the motion as well as a proposed amended complaint. In the same Order, Your Honor granted the Motion for Extension of Time to allow Logfret to file the supplemental documents.

On Wednesday, February 20, 2019, the due date for the Amended Complaint and Memorandum of Support regarding same, the federal government offices in Washington, D.C., including the offices of the Federal Maritime Commission, were closed due to inclement weather.² Given the closure of the FMC offices on February 20, 2019 and pursuant to FMC Rule 101, the Amended Complaint and Memorandum in Support were filed on Thursday, February 21, 2019. On Thursday, March 7, 2019 Respondents filed an Opposition to Motion to Amend Complaint and Statement of Impact of Proposed Amendment on Respondents' Motion to Dismiss. On Wednesday, April 24, 2019, Your Honor granted the Motion to Amend Complaint and further ordered that Complainant file its Opposition to Motion to Dismiss on or before May 8, 2019.

² Rule 101 of the FMC Rules of Practice and Procedure, 46 C.F.R. § 502.101, states, "If the Commission's offices are inaccessible on the last day for a filing, the time for filing is extended to the first accessible day that is not a Saturday, Sunday, or Federal holiday."

On May 8, 2019 Logfret filed a memorandum in opposition to Respondents' Motion to Dismiss. On May 20, 2019, Respondents filed a reply to Complainant's opposition to the motion to dismiss. Your Honor issued an Initial Decision granting Respondents' Motion to Dismiss, served September 17, 2019. On October 21, 2019, the Secretary of the Commission issued a Notice Not to Review, directing that that decision became administratively final.

On October 23, 2019, Respondents filed a Petition for Attorney's Fees, requesting that Your Honor award fees to Respondents in the amount of \$47,518. On October 28, 2019, Your Honor served an Order to Supplement Petition for Attorney Fees, which stated that Respondents may file a supplement to the Petition for Attorney's Fees by November 7, 2019. Respondents then filed a Supplement to Petition for Attorney's Fees ("Supplement to Petition") on November 7, 2019.

Logfret submitted a Motion to Strike and memorandum in support of its Motion on November 14, 2019. On November 19, 2019, Your Honor served an Order on Complainant's Motion to Strike Petition for Attorney Fees, denying the order and directing Complainant to file its response to Respondents' Petition for Attorney's Fees and Supplement to Petition by January 13, 2020. This Response is therefore timely submitted.

ARGUMENT IN OPPOSITION OF RESPONDENTS' PETITION FOR ATTORNEY'S FEES

I. Background on Respondents' Petition for Attorney Fees

Respondents' Petition for Attorney's Fees petition the Commission to award Respondents \$47,518 in attorney fees, pursuant to Section 11 of the Shipping Act, 46 U.S.C. § 41305. Respondents bear the burden of establishing entitlement to any such award, by documenting the relevant and appropriate number of hours and justifying the reasonableness of the rates, among

other things.³ The framework laid out by Congress for how the Commission must consider petitions for actions brought under 46 U.S.C. § 41301 was significantly modified by recent statutory amendments made to the Shipping Act in 2014.⁴ Yet in their original Petition for Attorney’s Fees Respondents initially made no mention of these amendments, and further failed to reference the amendments made by the Commission on March 1, 2016 to the Rule 254 of the Federal Maritime Commission’s Rules of Practice and Procedure, *see* 46 C.F.R. § 502.254, which sets forth the Commission’s implementing regulations for attorney fee awards.⁵ In their Supplement to Petition, Respondents attempt to shoehorn the original petition for attorney fees into the Commission’s updated framework for attorney fees. For a number of reasons set forth below in Section II, however, Respondents are unsuccessful and unpersuasive in this attempt. Logfret should not be ordered to cover the attorney fees incurred by Respondents for this proceeding. Moreover, even if the Commission were inclined to consider Respondents’ petition for attorney fees, it is clear that Respondents have failed to adequately substantiate and justify – in a number of ways, set forth below in Section III – the unreasonably high figures of hours and attorney fees cited by Respondents’ counsel. Consequently, and in the alternative, even if the Commission were inclined to award Respondents attorney fees in this matter, the Commission should not award the large amount requested by Respondent.

³ *See Edaf v. Crowley Caribbean Logistics, LLC*, et al., Docket No. 14-04 (served Sept. 14, 2016), *8 (citing *Blum v. Stenson*, 465 U.S. 886, 895 n.11 (1984) and *Hensley v. Eckerhert*, 461 U.S. 424, 437 (1983)); *Baltic Auto Shipping, Inc. v. Michael Hitrinov et al.*, Docket No. 14-16 (served Oct. 25, 2017), *15.

⁴ *See* Howard Coble Coast Guard and Maritime Transportation Act of 2014, Pub. L. No. 113-282, § 402, 128 Stat. 3022 (Dec. 18, 2014). *See also Edaf*, Docket No. 14-04 (served Sept. 14, 2016), *3 (briefly describing the changes made by Congress to the Shipping Act).

⁵ For background on the revisions to FMC Rule 254, *see* “Organization and Functions; Rules of Practice and Procedures; Attorney Fees,” Docket No. 15-06, Federal Maritime Commission, 81 Fed. Reg. 10,508 (March 1, 2019).

II. The Commission Should Not Award Respondents Attorney Fees in This Proceeding

As the applicant for attorney fees and the “prevailing party”⁶ in the proceeding for purposes of a Petition for Attorney’s Fees, Respondents bear the burden of establishing their entitlement to an award, as noted *supra*. For the reasons discussed below, Respondents have failed to meet that burden in this instance.

A. An Automatic Award of Attorney Fees in This Proceeding Is Not Consistent with the Statutory Amendments to the Attorney Fee Provision of the Shipping Act

According to the Shipping Act, “In any action brought under section 41301 [Complaints brought by private parties], the prevailing party may be awarded reasonable attorney fees.” 46 U.S.C. § 41305. As noted, the language is largely the result of statutory amendments made by

⁶ In implementing changes to Rule 254 of the Federal Maritime Commission’s Rules of Practice and Procedure, *see* 46 C.F.R. § 502.254, the Commission discussed instances when a complainant would generally qualify as a “prevailing party.” The Commission provided two examples: a complainant generally qualifies as the prevailing party in a Commission proceeding when the presiding officer awards reparations, or issues a cease and desist order. *See* 81 Fed. Reg. at 10,509 (Mar. 1, 2016). The Commission declined to go beyond such scenarios to examine whether a complainant may be a prevailing party in other circumstances. *Id.* at 10,512 & n.10 (“Applying the test used in other statutes, the Commission concludes that a complainant would generally qualify as the ‘prevailing party’ in a Commission proceeding when the presiding officer awards reparations or issues a cease and desist order. [n.10] We offer no opinion at this time as to whether a complainant obtaining relief other than a reparations award or cease and desist order would be considered the prevailing party under § 41305(e).”) The Commission also did not discuss whether and in what instances a respondent may qualify as a prevailing party.

Nevertheless, the two scenarios noted by the FMC in its March 1, 2016 rulemaking are not the only examples when a party to a Commission proceeding can qualify as a prevailing party. According to the Commission, “[t]he touchstone of the prevailing party inquiry” is “the material alteration of the legal relationship of the parties in a manner which Congress sought to promote in the fee statute.” 81 Fed. Reg. at 10,512 (citing *Tex. State Teachers Ass’n v. Garland Indep. Sch. Dist.*, 489 U.S. 782, 792-93 (1989)). In *Edaf*, Docket No. 14-04, at *8, the Commission found that a dismissal for failure to prosecute or to comply with an order in the proceeding is an adjudication on the merits, and therefore a material alteration of the legal relationship of the parties, such that the respondent qualified as a “prevailing party.” Likewise, in *Baltic Auto Shipping*, Docket No. 14-16, at *16-17, the Commission determined that its dismissal of a complaint with prejudice at the request of a complainant, pursuant to Commission Rule 72(a)(3), was also sufficient to deem a respondent a “prevailing party.”

In the present case, the ALJ issued an Initial Decision dismissing with prejudice Complainant’s complaint, *see* Initial Decision Granting Motion to Dismiss, Docket No. 18-10 (served Sept. 17, 2019), and the Commission declined to review the initial decision, *see* Notice Not to Review, Docket No. 18-10 (served Oct. 21, 2019). In light of the Commission’s reasoning in the Final Rule and in prior decisions, therefore, Logfret does not take issue with the determination that the Initial Decision effected a material alteration in the legal relationship of the parties, or with Respondents’ claim that Respondents are the “prevailing party” in this proceeding for purposes of the Petition for Attorney’s Fees.

the Howard Coble Coast Guard and Maritime Transportation Act, Pub. L. No. 113-282, § 402. There is limited legislative history for specific amendments made to 46 U.S.C. § 41305. An informational brochure about the Coble Act issued by the House Transportation and Infrastructure Committee merely states that “th[e] section clarifies that in actions filed with the FMC alleging a violation of law pertaining to ocean shipping, the prevailing party in the proceeding *may be* awarded reasonable attorney fees” (emphasis added).⁷ It is apparent from the revised statute and the Committee brochure that the Commission has discretion to award attorney fees, under certain circumstances and if reasonable.

In the Petition for Attorney’s Fees, Respondents seem to indicate that attorney fees should, in effect, be automatically awarded to Respondents in this case, on the grounds of “FMC precedent and the facts and outcome in this proceeding” – which Respondents do not elaborate upon in the Petition for Attorney’s Fees but Complainant understands to mean the fact that Respondents were the prevailing party.⁸ Certainly there is no indication from Congress that the attorney fee provision of the Shipping Act, as now drafted, is intended to create a fee-shifting scheme to penalize any party that fails to prevail on the merits on its case. A complaining party is never guaranteed to prevail; virtually all proceedings – before the Commission or otherwise – involve unique facts, novel arguments, and some amount of risk that a presiding officer may decide to dismiss the case or otherwise rule against a complainant. In this instance, Logfret

⁷ House Committee on Transportation & Infrastructure, The Howard Coble Coast Guard & Maritime Transportation Act of 2014, at 20 (2014), *available at* <http://transportation.house.gov/uploadedfiles/coastguardreauthsenateagreement.pdf> (last accessed Jan. 2, 2020).

⁸ Respondents’ Petition for Attorney’s Fees, p. 2. *See also* Respondents’ Supplement to Petition, p. 2 (“[R]espondents indicated in their Petition for Attorney Fees that fees should be awarded in the proceeding because they prevailed in the complaint proceeding in the captioned docket and are thus eligible for attorney fees pursuant to Section 11 of the Shipping Act.”) In their Supplement to the Petition, Respondent make additional claims that Complainant’s lawsuit was “frivolous,” which are further addressed *infra*.

should not be required to cover Respondents' attorney fees merely because Logfret was not the prevailing party. *Cf. Martin v. Franklin Capital Corp.*, 546 U.S. 132 (2005) (quoting *Christiansburg Garment Co. v. EEOC*, 434 U.S. 412, 422 (1978) for the proposition that awarding fees simply because the party did not prevail "could discourage all but the most airtight claims, for seldom can a [party] be sure of ultimate success."). Instead, the Commission should only consider awarding attorney fees in a case if such action would clearly further the purposes of the Shipping Act.

B. A Presumption of Attorney Fees in This Proceeding Is Not Consistent with the Purposes of the Shipping Act

In its Final Rule issued following the statutory amendments to the Shipping Act's attorney fee provision, the Commission declined to issue a codified list of factors for consideration in determining whether a prevailing party is entitled to attorney fees. Instead, the Commission directed that "[t]he primary consideration in determining entitlement to attorney fees is whether such an award is consistent with the purposes of the Shipping Act, and any factors the Commission relies upon in individual cases should be consistent with these purposes."⁹ Among said purposes of the Shipping Act is the intent for the Act to provide a "*non-discriminatory* regulatory process..."¹⁰ In this vein, the Commission has opined that the

⁹ "Organization and Functions; Rules of Practice and Procedures; Attorney Fees," Docket No. 15-06, Federal Maritime Commission (served Feb. 23, 2016), p. 26 (citing *Fogerty*, 510 U.S. at 534 n.19). *See also Baltic Auto Shipping*, Docket No. 14-16, at *17.

¹⁰ 46 U.S.C § 40101(1) (emphasis added). The purposes of the Act include to: (a) establish a nondiscriminatory regulatory process for the common carriage of goods by water in the foreign commerce of the United States with a minimum of government intervention and regulatory costs; (b) provide an efficient and economic transportation system in the ocean commerce of the United States that is, insofar as possible, in harmony with, and responsive to, international shipping practices; (c) encourage the development of an economically sound and efficient liner fleet of vessels of the United States capable of meeting national security needs; and (d) promote the growth and development of United States exports through competitive and efficient ocean transportation and by placing a greater reliance on the marketplace.

Shipping Act supports treating prevailing complainants and prevailing respondents in an even-handed manner. Neither the intent of the Shipping Act to provide for a non-discriminatory and even-handed regulatory process, nor any of the Act's other purposes, are served by awarding Respondents attorney fees simply because they were the "prevailing party" in this proceeding.

Moreover, it is a well-established rule in the United States that generally each party to a legal proceeding must bear its own litigation expenses. As the U.S. Supreme Court recently noted in *Fox v. Vice*, 131 S. Ct. 2205, 2213 (2011), "[o]ur legal system generally requires each party to bear his own litigation expenses, including attorney's fees, regardless whether he wins or loses." The rule is an integral part of U.S. law known as the "American rule." Proceedings before the FMC are no different. In its furtherance of the Shipping Act, the Commission has indicated an interest in adhering to federal rules and case law in the adjudication of private party disputes.¹¹ This includes adoption of the general rule that each party must bear its own litigation expenses. While upholding the purpose of the Shipping Act to be non-discriminatory toward complainants and respondents alike when it considers a petition for attorney fees by the opposing prevailing party, the Commission must also exercise its discretion to award attorney fees only circumstances that warrant departure from the general presumption of the American rule. This is not one of those cases.

C. The FMC Has Previously Denied Attorney Fees in a Proceeding Similar to This One

In the Petition for Attorney's Fees, Respondents argue that the Commission has repeatedly awarded reasonable attorneys' fees in FMC proceedings. To support this argument,

¹¹ E.g. FMC Rule 12, at 46 C.F.R. § 502.12 ("In proceedings under this part, for situations which are not covered by a specific Commission rule, the Federal Rules of Civil Procedures will be followed to the extent that they are consistent with sound administrative practice.")

Respondents cite a string of FMC cases.¹² Importantly, none of these cases were decided after the changes made to Section 11 of the Shipping Act, 46 U.S.C. § 41305. Prior to the changes, the statute *required* the Commission to direct a respondent to pay reasonable attorney fees to a complainant that was awarded reparations: because of this rule, of course there are examples of the Commission awarding reasonable attorney fees in FMC proceedings prior to the statutory changes. But these decisions are of limited relevance to the issue at hand, and unpersuasive in a situation like the one at present where the Commission is not required to award attorney fees.

In the Supplement to Petition, Respondents argue that they are further entitled to attorney fees because Logfret’s conduct in this proceeding has been “just like in *Edaf*.”¹³ Respondents’ reliance on *Edaf* to argue that they are entitled to attorney fees here is unfounded. *Edaf v. Crowley Caribbean Logistics* was a case that extended into a discovery phase of litigation, where the non-prevailing party (a complainant) committed several egregious actions. Among them, the complainant completely failed to comply with a briefing schedule issued by the Administrative Law Judge. The complainant also failed to meet any of its discovery obligations. On top of that, after the respondent filed a motion to dismiss of the complaint, the complainant completely failed to respond to a show cause order issued by the Administrative Law Judge directing the complainant to explain *why* the complaint should not be dismissed.¹⁴ Simply put, the complainant in *Edaf* brought suit against a respondent but then failed to abide by any of the responsibilities that naturally come with filing suit, including full participation in the proceeding and adherence to the direction and orders from the presiding officer. In the Commission’s

¹² Respondents’ Petition for Attorney’s Fees, p. 2.

¹³ Supplement to Petition, p. 3.

¹⁴ See *Edaf*, Docket No. 14-04 (served Sept. 14, 2016), *2 (setting forth the procedural history of the case).

ultimate determination, the complainant's conduct of "failing to prosecute their claims" required deterrence, and therefore "awarding respondents attorney fees further[ed] the purposes of the Shipping Act."¹⁵

By contrast, in the *Baltic Auto Shipping*, Docket No. 14-16, the Commission considered a respondent's petition for attorney fees but declined to grant the petition. The Commission drew a sharp distinction between the circumstances in *Baltic Auto Shipping* and those in *Edaf*: "Unlike in *Edaf*, where a lack of responsiveness was the main impetus for the extra time and expense generated for respondents and Commission alike, in this matter the Complainant has vigorously litigated its claims." In the present matter before the Commission, the facts and circumstances, and Logfret's conduct before the Commission, are much more in line with *Baltic Auto Shipping* than *Edaf*. During this proceeding Logfret has consistently adhered to all instructions and deadlines in the subject proceeding, including deadlines set by the Federal Maritime Commission's Rules of Practice and Procedure as well as deadlines and instructions issued by Your Honor. While it always pursued its position zealously, Logfret never failed to uphold and abide by all rules and requirements in the proceeding. Logfret recognizes that it did not prevail on the claims raised against Respondents. Yet it does not follow that, because Your Honor ultimately decided to dismiss the complaint with prejudice, an award of attorney fees is therefore warranted, given that Logfret has not engaged in the egregious actions that merited attorney fees against the complainant in *Edaf*.

In the Supplement to Petition, Respondents attempt to rehash the legal merits of the proceeding by going through each of the arguments raised in the Motion to Dismiss. But this Petition for Attorney's Fees is not, and should not be, a relitigation of the merits of the

¹⁵ *Id.* at *10.

proceeding. It is true that, in considering the merits of Complainant's action for purposes of the Respondents' dismissal motion, the Commission ultimately ruled that Complainant's action contained implausible allegations. For example, for purposes of determining whether Respondents acted, in effect, as NVOCCs, the Commission determined that Logfret failed to plausibly allege that Respondents "held themselves out to accept cargo" or "assumed responsibility for transportation" but did plausibly allege that Respondents were involved in the international transportation of cargo by water from The Netherlands to the United States. Yet the findings against Logfret on the merits of its claim does not put Logfret into the same camp as the complainant in *Edaf*. In *Edaf* the Commission emphasized that perhaps the most egregious conduct from the complainant was its failure to terminate the claim when it could have limited the expense of the Respondents, emphasizing that the complainant had ample opportunity to withdraw its claim.¹⁶ Here Respondents attempt to argue that the fact that Logfret did not terminate its lawsuit prior to the Commission's ruling on the Motion to Dismiss is grounds for an award of attorney fees. This argument lacks merit. The lawsuit in *Edaf* underwent a full round of briefing on a motion to dismiss, and then ventured into the discovery phase of litigation. Through most of the proceeding, in discovery in particular, the complainant in *Edaf* was unengaged in the case and not responsive to instruction from the presiding officer. By contrast, this proceeding concluded at the earliest stage of litigation, upon dismissal of the complaint. The proceeding did not extend into discovery, which likely would have been more time-consuming and costly. In short, the circumstances of this case are a far cry from those in *Edaf* which Respondents rely upon so heavily. Logfret should not be effectively penalized for not

¹⁶ *Id.* at *9.

terminating its lawsuit at the behest of Respondents and instead seeking a ruling from the Commission on its claims.

III. Respondents Have Failed to Substantiate and Justify Adequately the Large Amount of Attorney Fees Requested

As the petitioner for attorney fees and the “prevailing party” in the proceeding for purposes of a Petition for Attorney’s Fees, Respondents further bear the burden of documenting the appropriate hours and justifying the reasonableness of the rates. Even if the Commission were inclined to consider awarding Respondents with attorney fees in this case, Respondents have failed to meet their burden of justifying the amount of attorney fees requested. Indeed, Respondents’ petition for nearly \$50,000 in fees, apparently generated by a large legal team comprised of a partner, an of counsel, two associates, and a transportation analyst over a span of nearly 120 work hours, is wholly unreasonable and unjustifiable, given the scope and outcome of this proceeding.

A. The Outcome of the Proceeding Does Not Support the Amount of Attorney Fees Requested

The proceeding concluded with the dismissal of the complaint, thereby effecting a material change in the legal relationship between the parties, but did not otherwise reach any wide-ranging or notable conclusions. Even if the Commission were inclined to award Respondents with fees in this case, the straightforward and limited outcome of the proceeding as a whole weighs against an award of the significant amount of fees petitioned for by Respondents. As the Commission has noted, “[t]he degree of success obtained is a relevant factor when determining the amount of an attorney fee award, *see Hensley v. Eckerhart*, 461 U.S. 424, 434–36 (1983), and the Commission, relying on relevant federal case law, has considered this a relevant factor when determining reasonable attorney fee awards [citing case law].” 81 Fed.

Reg. at 10,515. Dismissal of Logfret’s complaint simply does not justify the award of nearly \$50,000 to Respondents. This was not an extended litigation; as discussed above, the proceeding effectively ended at the motion to dismiss stage. There were no discovery burdens or expenses. In light of the outcome and relatively limited scope of the proceeding, it is reasonable for each party to cover its own legal fees. It is highly *unreasonable* for Respondents to petition for Logfret cover a bloated legal bill for a proceeding that did not even advance into discovery.

B. Respondents’ Calculation of Attorney Fees is Overinflated and Unjustified

In the calculation of attorney fees, counsel for Respondents arrives at an overinflated and unjustified figure that Logfret should not be required to shoulder. For all of the reasons listed below, Respondents’ attorney fees of \$47,518.00 are highly unreasonable.

- **Counsel for Respondents staffed the proceeding with a large team and spent an unreasonably high number of hours on the proceeding.** In the Supplement to Petition, counsel to Respondents provided the total hours of all attorneys and non-attorneys who worked on the proceeding for the Respondents. This apparently included the following:

Name of Attorney or Non-Attorney	Number of Hours Worked
Carlos Rodriguez, Esq. (Partner)	63.1
Eddie Edwards	13.9
Daniel Jaffe, Esq. (Of Counsel)	2.8
Sylvia Bartel, Esq. (Associate)	27.2
Tierra Jones, Esq. (Associate)	11.2
<i>Total Number of Hours</i>	<i>118.2 (104.3 attorney hours)</i>

Even limiting the number of professionals on the proceeding to attorneys only, counsel for Respondent staffed the proceeding with a legal team of four. In addition, counsel for Respondents spent a total of nearly 120 hours on the proceeding. This is an inordinately

large team and unreasonably high number of hours to dedicate to a relatively limited case like this one.

- **Counsel for Respondents used a partner for a majority of the legal work.** Of the 118.2 hours that counsel for Respondents apparently spent on the proceeding, of which 104.3² were attorney hours, the lion's share of the legal work (approximately 60% of the attorney hours) were done by a partner, Mr. Rodriguez. It is highly unusual for a legal team to operate in such a "top-heavy" manner, particularly a team that is staffed with multiple more junior (and less expensive) associates. It is without question that this arrangement had an effect of significantly and unreasonably driving up Respondents' legal costs.
- **Counsel for Respondents included a second senior attorney (Of Counsel) with little to no apparent experience in issues involving the Federal Maritime Commission.** Counsel for Respondents indicated that Mr. Jaffe, an attorney with an Of Counsel title, participated in the proceeding for Respondents, despite having no apparent experience in FMC matters. Again, given the relatively small scope of this proceeding, it is unreasonable to have an additional senior attorney on the case.
- **Counsel for Respondents employed a "transportation analyst," even though the proceeding did not involve any industry analysis, tariff analysis, or economic analysis.** During this proceeding, Mr. Edwards, who is described in Respondents' Supplement to Petition as "a transportation analyst who specializes in matters before the FMC," worked a total of 13.9 hours, at a rate of \$245 per hour. There is undisputed that transportation analysts are sometimes used for proceedings before the Commission

involving a dispute about what is typical in the maritime industry or economic sector, or about whether an entity was charged a legally acceptable rate based on a carrier's tariff or other rate vehicle. However, no such issues were involved in this proceeding, and Mr. Edward's contributions are unclear. His participation merely served to inflate Respondents' already overlarge legal bill.

These questionable staffing choices by counsel for Respondent all contributed to the bloated legal bill of nearly \$50,000 for this matter. Counsel for Respondents may have made the choice to throw an unreasonably high amount of time and resources toward this proceeding, but the burden should not fall on the Complainant to cover the resulting costs.

CONCLUSION

For the reasons set forth above, Logfret respectfully requests that the Commission deny Respondents' Petition for Attorney's Fees. In the alternative, if the Commission were inclined to award attorney fees to Respondents in this matter, Logfret respectfully requests that the Commission provide for an amount of attorney fees that is much lower than the overinflated and unreasonable figure cited by Respondents.

Dated at Washington, D.C. this 13th day of January 2020.

Respectfully submitted,

/s/ Ashley Craig
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CERTIFICATE OF SERVICE

I hereby certify that I have served the foregoing document upon all parties noted below by mailing a copy to each such person:

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Counsel for Respondents

Dated at Washington, D.C. this 13th day of January 2020.

/s/ Ashley Craig
Ashley W. Craig
Counsel for Complainant